



Threshold

# THE HOUSING FAILURE

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Why Britain builds the wrong homes, in  
the wrong places, for the wrong people

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## The problem we need to solve

The planning system does not prevent development.

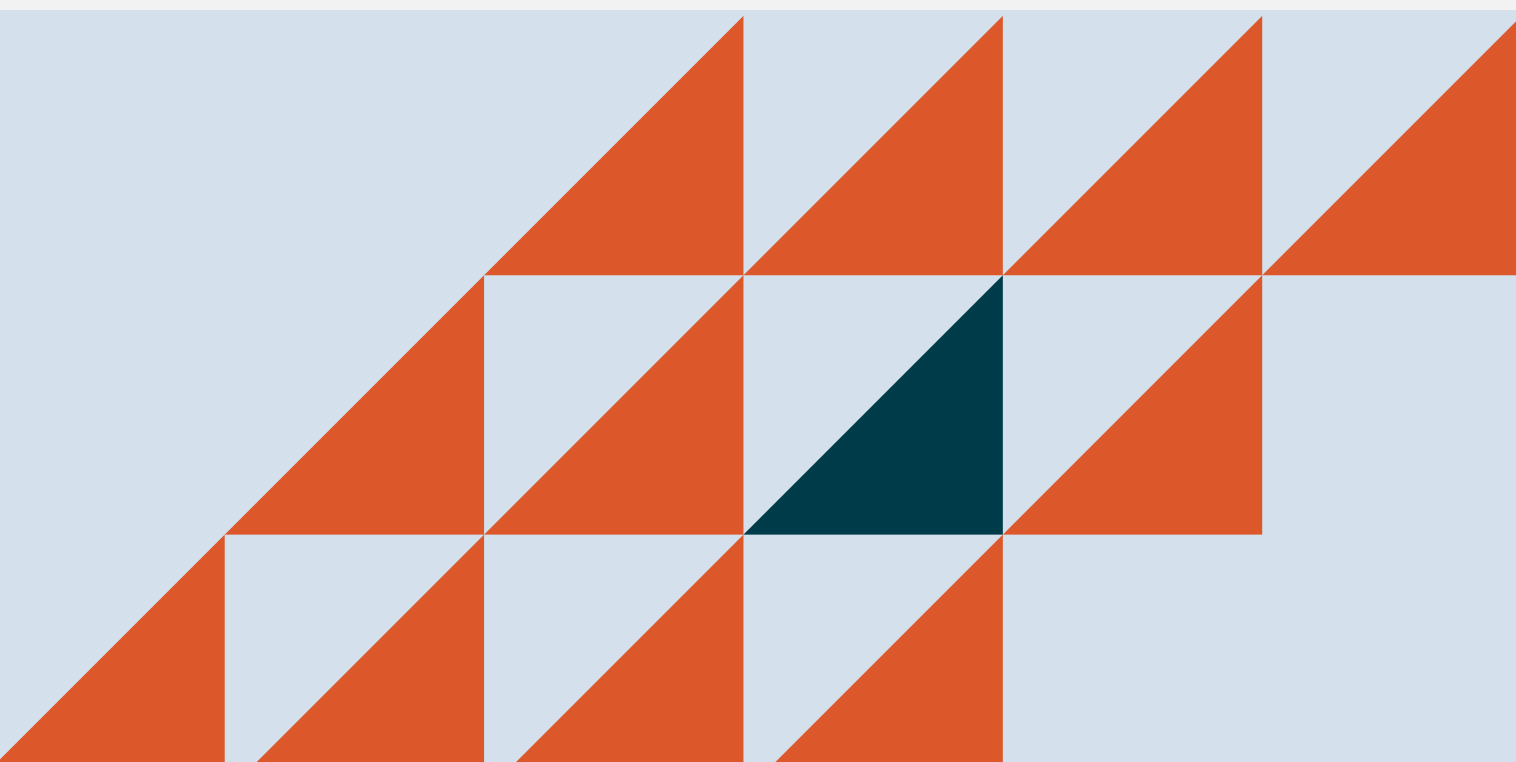
It prevents the *right* development.

Britain grants more planning permissions than it builds homes.

The gap between permission and completion is not bureaucratic, it is financial.

Land held unbuilt is land held as an appreciating asset.

The incentive is to wait, not to build.





**Dame Kate Barker**

Review of Housing  
Supply, 2004

The failure to build sufficient homes of the right type in the right locations has created a cumulative deficit that cannot be resolved within a single parliamentary term. The consequences in inequality, in homelessness, in the life chances of people who cannot access stable housing are now structural rather than cyclical. **This is no longer a market failure. It is a policy choice.**

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# 4.2 million.

households estimated to need social housing

In 1980

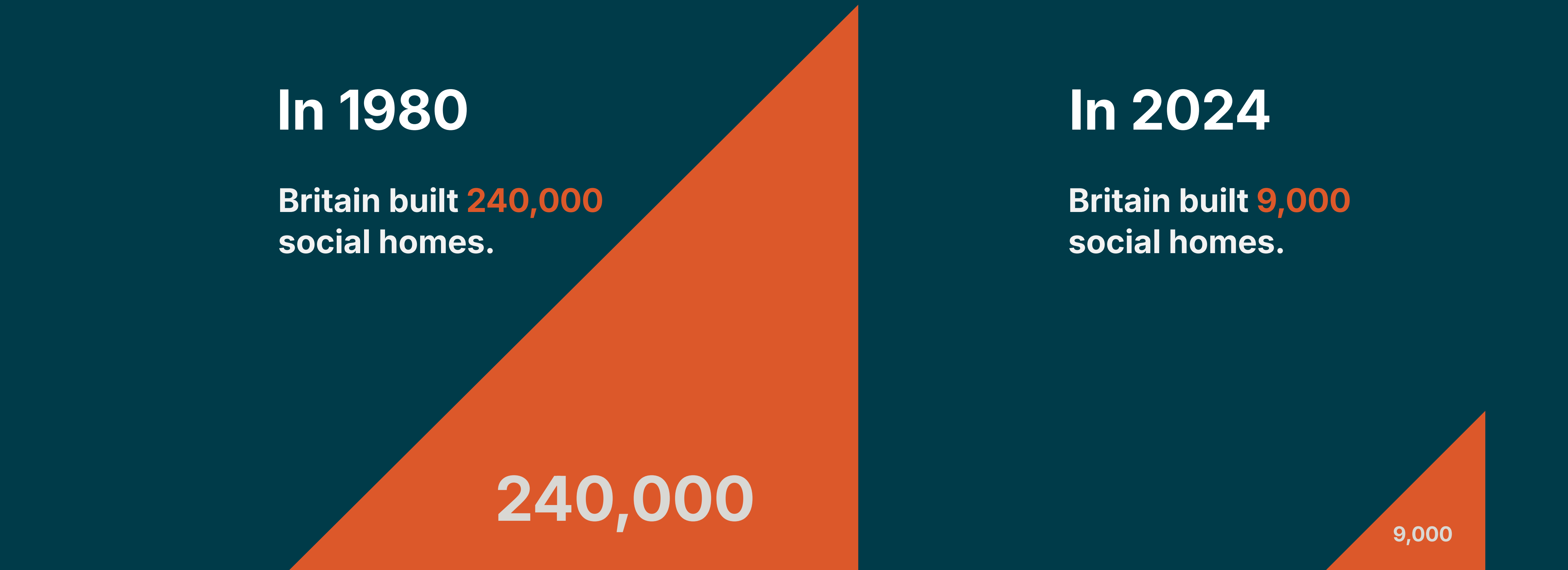
Britain built **240,000**  
social homes.

240,000

In 2024

Britain built **9,000**  
social homes.

9,000





# The **three** things that would change everything.

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1

**Compulsory purchase at  
existing use value**

Not potential future  
development (hope) value.

2

**A national social  
housebuilding programme**

100,000 units annually  
for ten years.

3

**Reform that prioritises  
tenure mix not unit count**

Planning reform that prioritises  
tenure mix not unit count.

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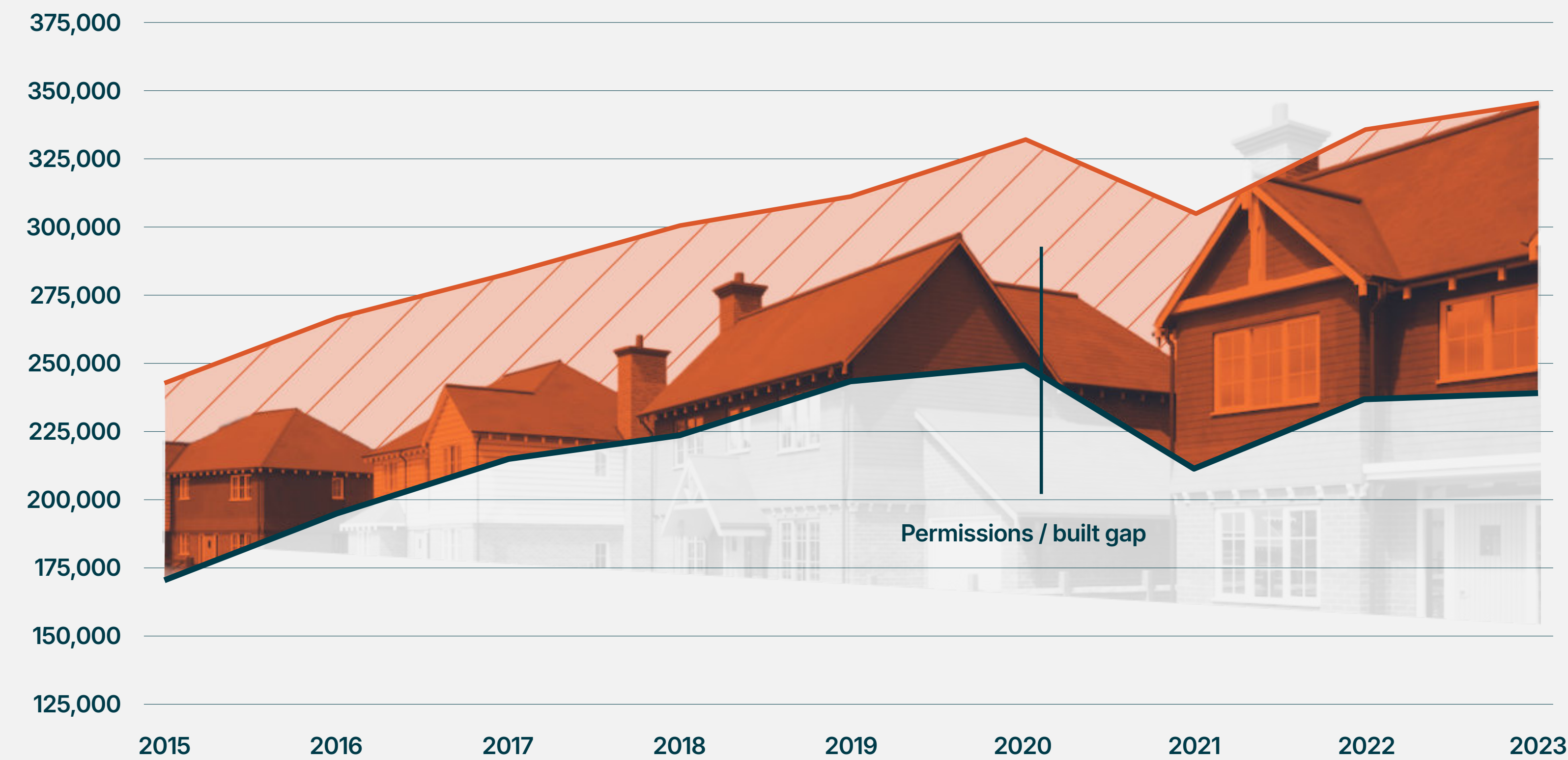
# Who is affected and where

| Region                             | London    | Midlands  | North of England |
|------------------------------------|-----------|-----------|------------------|
| Average wait time                  | 1-2 years | 5-6 years | 3-4 years        |
| Median house price to income ratio | x 13.9    | x 6.9     | x 4.8            |
| Social housing as % of stock       | 12.1%     | 15.2%     | 17.6%            |
| Net new supply 2023-24             | 23,000    | 47,000    | 35,500           |

Figures derived from ONS Housing Need Projections and Local Authority Housing Statistics



# Permissions granted vs homes completed



## Why the gap persists

### Build-out rates

Developers phase construction to match market demand and maintain prices.

### Financing constraints

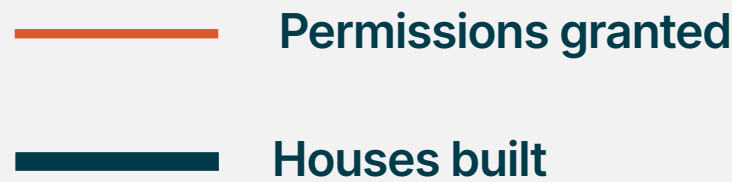
Projects often require staged funding, which slows delivery after approval.

### Infrastructure delays

Utilities, roads and local services can delay construction after permission.

### Market conditions

Higher interest rates and construction costs can stall projects already approved.



# An alternative development model

## How the model works:

### 1. Work with local landowners early

Establishes a shared approach before planning, increasing alignment and reducing opposition.

### 2. Aligns with local authority priorities

Design plans based on local needs. This improves likelihood planning approval and public support.

### 3. Secures planning permission

Unlocks significant land value uplift through planning consent.

### 4. Captures value uplift for local benefit

Make sure the added value is shared locally. Keep the value gained in the community.

### 5. Use local builders and suppliers

Work with local companies during construction. This keeps the value in the local economy.

### 6. Build homes that people need

Focus on suitable housing types. For example, homes for families and key workers.

### 7. Create long-term local benefits

Ensure financial and social value stays in the area. Do not focus only on external investors.

### 8. Reinvests in the local economy

Put value back into local jobs, services, and future projects.

**Work locally, share value locally, and keep benefits in the community.**



A model for locally led development





↑ Threshold

